Viavi Solutions (VIAV)

AI-Driven Test Demand Fuels a Multi-Year Upside for Viavi Solutions

ANALYST: JUSTIN WEN | OCTOBER 21, 2026

> Viavi Solutions has turned a legacy wireless test weakness into a high-growth data-center test franchise, delivering double-digit revenue expansion and margin acceleration in the latest quarters. The market has over-emphasized short-term dilution and GAAP losses while under-weighting the operating leverage from AI-enabled test demand. Our model reflects a blended target of $38.47, representing a 10.4% upside from the $34.84 reference price.

BUY	$38.47	+10.4%	$34.84
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on the near-term share increase and GAAP headline loss, yet the underlying cash-flow generation and recurring data-center test revenue point to a compounding upside that will play out over the next five years.

EXECUTIVE SUMMARY

Viavi Solutions designs, manufactures and services network test and measurement equipment and optical components for telecom carriers and data-center equipment makers. The business is organized around a Network Service Enablement (NSE) segment that captures high-speed Ethernet, 800 G/1.6 T and PCIe 6.0 test, and an Optical Service Provider (OSP) segment that serves traditional carrier test needs. The company's technology platform is deeply embedded in carrier and data-center rollout cycles, creating a durable revenue base.

The fiscal-year 2026 record shows revenue of $1.52 billion, a 40.0% year-over-year increase, and a gross margin of 57.7%. Non-GAAP operating margins have surged from the low-teens to the mid-teens, reaching 24.0% in Q4 FY2026 as AI-driven test demand accelerated. Free cash flow turned positive at $82.8 million, delivering a free-cash-flow margin of 5.5% despite a GAAP net loss of $30.4 million. Quarterly results from Q1 through Q4 FY2026 illustrate a consistent pattern of revenue acceleration, margin expansion and operating leverage, offset by a one-time dilution event and restructuring charges.

Capital allocation reflects a strong cash position of $647.8 million against net debt of $50.5 million, leaving the balance sheet net-cash positive. The company financed the Spirent acquisition with a mix of cash and debt, expanding total debt to $698.3 million. The modest net-debt level and robust cash generation provide flexibility for

continued investment in R&D and strategic acquisitions while supporting dividend-free, share-repurchase-ready capital returns.

OPERATIONAL SNAPSHOT

$34.84	$1.52B	$82.8M	5.5%	$50.5M	$34.84
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	NET DEBT	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DEFENSIBLE

Switching costs for carriers and data-center OEMs are high because test equipment must integrate with proprietary protocols, meet stringent regulatory standards and support multi-year rollout plans. Viavi's optical components and test platforms are certified across multiple generations of Ethernet and optical transport, locking customers into a trusted supplier relationship.

Regulatory barriers reinforce the moat. Telecom carriers operate under national spectrum and equipment certification regimes that favor established test vendors with proven compliance histories. Viavi's long-standing certifications reduce the time and cost for carriers to adopt new test solutions, creating a de-facto barrier to entry for newer competitors.

Customer retention is evident in the NSE segment's repeat revenue streams. The Q4 FY2026 record shows NSE revenue of $353.9 million, a 69.2% year-over-year increase, driven by 800 G/1.6 T and PCIe 6.0 test demand. The high-margin nature of these contracts, combined with a 40-45% flow-through on incremental revenue, underscores pricing power and the ability to translate top-line growth into operating leverage.

Pricing power is further supported by the scarcity of high-performance AI-enabled test solutions. Viavi's ability to command a 24.0% non-GAAP operating margin in Q4 FY2026, up 960 basis points year-over-year, demonstrates that customers are willing to pay a premium for differentiated test capability that reduces time-to-market for next-generation network equipment.

VALUATION

Three scenarios make the valuation range explicit

The baseline scenario assumes a 16.0% revenue compound annual growth rate from FY2026 to FY2030, with free-cash-flow margins improving to 25.0% by FY2030. The terminal growth rate of 3.0% reflects a mature, steady-state network test market. Discounting at the 9.58% weighted average cost of capital yields a base target price of $40.79.

The bear scenario applies an 8.0% revenue CAGR and a target free-cash-flow margin of 18.0% in FY2030, reflecting a slowdown in data-center demand and persistent GAAP losses. The resulting price is $18.77.

The bull scenario projects a 20.0% revenue CAGR and a 28.0% free-cash-flow margin in FY2030, driven by sustained AI test adoption and full integration of Spirent assets. The discounted cash-flow model produces a price of $53.52.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	18.0%	$18.77	-46.1%
Base	50%	16.0%	25.0%	$40.79	+17.1%
Bull	25%	20.0%	28.0%	$53.52	+53.6%

Bear $18.77

The bear outcome hinges on a deceleration of NSE growth, continued GAAP net losses and a failure to fully monetize the Spirent acquisition, which would keep free-cash-flow margins near 18.0% and compress valuation.

Base $40.79

The base case reflects the current trajectory of double-digit NSE growth, margin expansion to 25.0% and a disciplined capital structure, delivering a balanced upside.

Bull $53.52

The bull case requires the NSE segment to sustain 20.0% revenue CAGR, full capture of AI test demand, and the realization of synergies that lift free-cash-flow margins to 28.0%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

The 9.58% weighted average cost of capital incorporates a market-derived cost of equity, a modest debt premium and the company’s net-cash position. This dynamic rate captures the market’s pricing of Viavi’s operational risk, including execution risk around the Spirent integration and the volatility of AI-driven test demand.

Because the discount rate is anchored to current market conditions, it automatically adjusts for shifts in the risk-free rate, equity risk premium and company-specific leverage, ensuring that the valuation remains responsive to macro-economic changes.

FCF margin normalization is the engine

Free-cash-flow margins evolve from the current 5.5% to the scenario-specific targets of 18.0% (bear), 25.0% (base) and 28.0% (bull) by FY2030. The upward

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**9.58% (2026-10-20)**
Terminal growth	**3.0%**
Diluted shares	**246.8 million**

BUY

over $38.47 blended target

trajectory is driven by the operating leverage demonstrated in Q4 FY2026, where non-GAAP operating margin expanded to 24.0% and free-cash-flow generation turned positive.

The margin expansion reflects higher contribution from the NSE segment, which exhibited a 40-45% flow-through on incremental revenue in Q4 FY2026, and the gradual amortization of acquisition-related restructuring charges.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on AI-enabled test demand and Spirent integration BUY

The NSE segment is the primary growth engine, capturing AI-driven test demand from data-center equipment makers. Q4 FY2026 NSE revenue of $353.9 million grew 69.2% year-over-year, reflecting massive uptake of 800 G/1.6 T and PCIe 6.0 test solutions. The high-margin nature of these contracts, combined with a 40-45% flow-through, translates top-line growth into operating leverage.

The OSP segment provides a stable base of carrier test services. While legacy wireless test remains structurally weak, the OSP operating margin of 35.3% in Q3 FY2026 demonstrates the profitability of the carrier-centric portfolio.

Spirent's integration adds a suite of high-performance test assets that are already contributing to margin expansion. Non-GAAP operating margin rose from 14.9% in Q2 FY2026 to 24.0% in Q4 FY2026, confirming the accretive nature of the acquisition.

Capital efficiency is reinforced by a net-cash position of $647.8 million against net debt of $50.5 million, providing ample liquidity to fund R&D, pursue further bolt-on opportunities and return capital to shareholders.

What to monitor

- **AI test adoption pace** The record shows NSE revenue surging 69.2% in Q4 FY2026; a slowdown would pressure margin expansion.
- **Spirent integration progress** Successful realization of synergies is reflected in operating margin improvement; any integration hiccup could erode the base case.

- **Wireless segment recovery** The legacy wireless test business remains weak; a turnaround would add diversification but is not expected near term.
- **Share dilution impact** Diluted shares increased to 246.8 million in the model; further conversions could dilute EPS and affect per-share valuations.

+40.0%	57.7%	8.0%	5.5%	$50.5M	-2.1%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$1.52B
Gross Profit	$875.4M
EBIT	$121.0M
Net Income	$-30.4M
EBITDA	$168.1M
Free Cash Flow	$82.8M
Diluted EPS	$-0.13
ROE	-2.1%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Further convertible note conversions could increase diluted shares beyond the model's 246.8 million, muting

M&A DIGESTION

If the Spirent acquisition fails to deliver the projected operating leverage, integration costs could depress free-cash-flow margins and extend the

REGULATORY AND PRICING SCRUTINY

Heightened regulatory oversight on telecom test equipment pricing could compress margins in the OSP segment, limiting the company's

TECHNOLOGY DISRUPTION

A breakthrough in virtualized test platforms could reduce demand for Viavi's hardware-centric solutions, eroding the NSE growth trajectory.

REINVESTMENT TREADMILL

Continued heavy investment in R&D without commensurate revenue growth could strain cash flow and force the company into a higher-cost capital structure.

WACC AND DURATION SENSITIVITY

An increase in the weighted average cost of capital above 9.58% would lower the present value of future cash flows, compressing

earnings per share and pressuring the stock price.

path to profitability.

ability to sustain high operating margins.

valuation multiples.

The strengths

OLIGOPOLY POSITION

Viavi operates in a concentrated market where few suppliers meet the stringent certification requirements of carriers and data-center OEMs, creating a defensible market share.

FCF COMPOUNDING

Free-cash-flow generation has turned positive at $82.8 million, and the projected margin trajectory under the base case supports compounding cash flow over the forecast horizon.

GEOGRAPHIC DURABILITY

The company's customer base spans global telecom carriers and data-center hubs, insulating revenue from regional economic cycles.

PIPELINE OPTIONALITY

The integration of Spirent adds a pipeline of high-value test solutions that can be cross-sold to existing customers, expanding addressable market size.

The bottom line on risk and reward

Viavi Solutions stands at the intersection of exploding AI-driven data-center test demand and a strategic acquisition that has already begun to lift operating margins. While GAAP losses and a one-time dilution event have drawn market attention, the underlying cash-flow generation, high-margin NSE growth and net-cash balance provide a solid foundation for upside.

Our probability-weighted target of $38.47 implies a 10.4% upside from the $34.84 reference price, comfortably above the base case target of $40.79 and well within the range of our three-scenario DCF. The balance of risk and reward supports a Buy recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Network Service Enablement: AI-driven test platform

The NSE franchise is built around high-speed Ethernet, 800 G/1.6 T and PCIe 6.0 test solutions that enable data-center equipment makers to validate next-generation silicon. The Q4 FY2026 record shows NSE revenue of $353.9 million, a 69.2% year-over-year increase, underscoring the rapid adoption of AI-enabled test workloads. The franchise benefits from a 40-45% flow-through on incremental revenue, turning top-line growth into operating leverage.

Spirent's assets have been integrated into the NSE portfolio, expanding test coverage and accelerating time-to-market for customers. The resulting non-GAAP operating margin of 24.0% in Q4 FY2026 reflects the high-margin nature of AI test services.

Key performance indicators from the record include:

- Revenue growth of 52.5% in Q4 FY2026, driven primarily by NSE demand.
- Non-GAAP operating margin expansion of 960 basis points to 24.0% in Q4 FY2026.
- Non-GAAP EPS of $0.34 in Q4 FY2026, a 161.5% increase year-over-year.
- Q1 FY27 EPS guidance of $0.41, implying a 173% year-over-year increase.

Our read: The NSE franchise is the engine of Viavi's upside, with AI-driven test demand delivering both revenue acceleration and margin expansion. Continued integration of Spirent assets and sustained data-center growth should keep the franchise on a high-growth trajectory.

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